

HOUSE BILL 1965

By Farmer

AN ACT to amend Tennessee Code Annotated, Title 29
and Title 71, Chapter 3, relative to child care.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 29, Chapter 34, Part 2, is amended by adding the following new section:

(a) This section is known and may be cited as the "Tennessee Child Care Hosting Safe Harbor Act."

(b) As used in this section:

(1) "Child care provider" means a person or entity licensed under title 71, chapter 3, part 5 to operate a child care agency or facility;

(2) "Employer" means a person or entity that subsidizes child care costs for its employees or that hosts a child care provider on its premises; provided, that the employer does not operate or manage the child care provider;

(3) "Host entity" means a person or entity, including but not limited to, a nonprofit organization, faith-based organization, community organization, educational institution, or property owner or lessee, that permits a child care provider to operate on property the person or entity owns or controls, regardless of whether the children served are children of employees of the host entity; and

(4) "Subsidize" means to pay all or part of the cost of child care services on behalf of an employee or eligible child through reimbursement, direct payment, tuition assistance, grants, or similar financial assistance.

(c) Except as provided in subsection (d), an employer or host entity is not liable in a civil action for damages arising from the acts or omissions of a child care provider that:

(1) Is licensed under state law; and

(2) Provides child care services on property owned, leased, or otherwise made available by the employer or host entity.

(d) Subsection (c) does not apply if the employer's or host entity's gross negligence or willful misconduct is the proximate cause of the injury, harm, or loss.

(e) This section does not apply if the employer or host entity:

(1) Operates, controls, or manages the child care provider;

(2) Is licensed as a child care provider; or

(3) Employs, supervises, or directs the child care provider's staff.

(f) The provision of space, utilities, maintenance, security, capital improvements, or financial support to a child care provider, standing alone, does not constitute operation, control, or management of the child care provider.

(g) This section does not limit or alter any right of action against a child care provider.

SECTION 2. This act takes effect July 1, 2026, the public welfare requiring it, and applies to actions arising on or after that date.